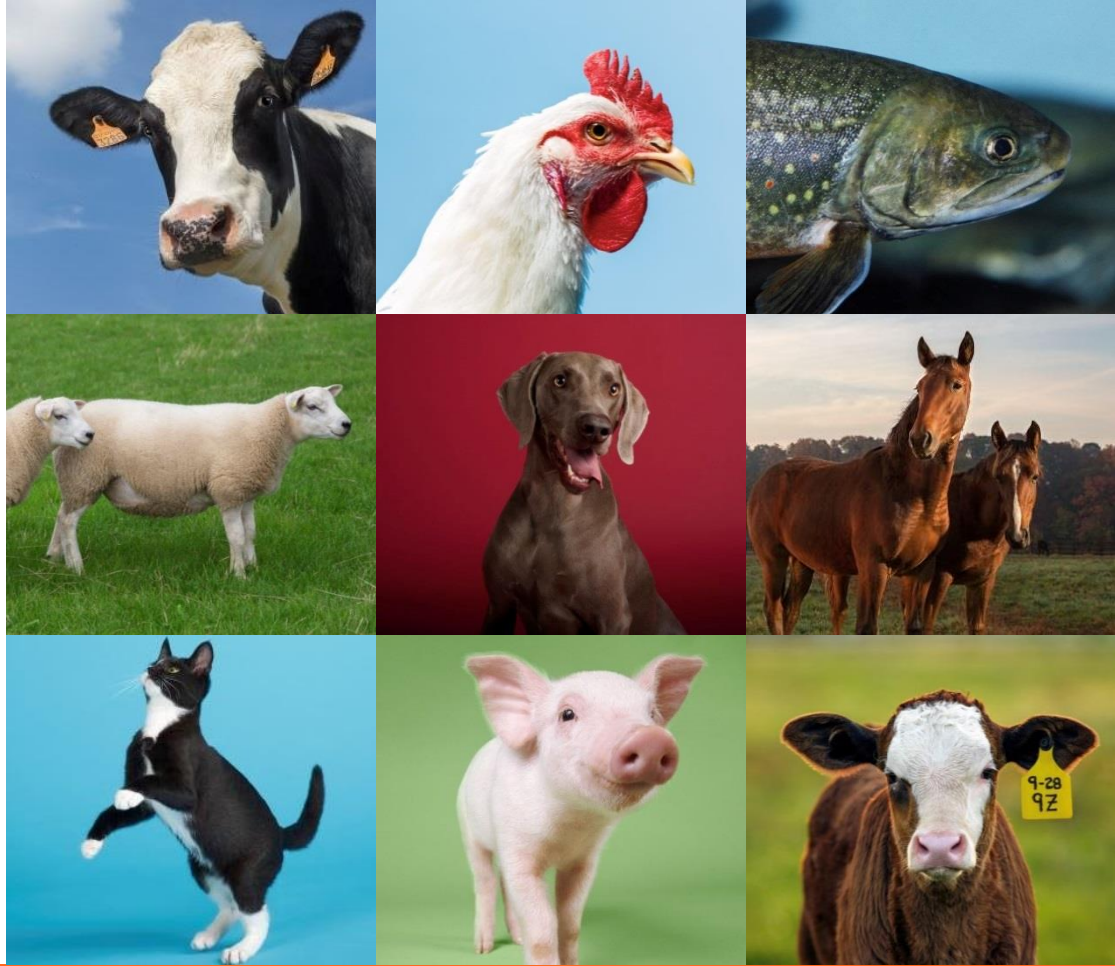


THIRD QUARTER 2017 FINANCIAL RESULTS

November 2, 2017



zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements, which reflect the current views of Zoetis with respect to business plans or prospects, future operating or financial performance, future guidance, future operating models, expectations regarding products, future use of cash and dividend payments, tax rate and tax regimes, changes in the tax regimes and laws in other jurisdictions, and other future events. These statements are not guarantees of future performance or actions. Forward-looking statements are subject to risks and uncertainties. If one or more of these risks or uncertainties materialize, or if management's underlying assumptions prove to be incorrect, actual results may differ materially from those contemplated by a forward-looking statement. Forward-looking statements speak only as of the date on which they are made. Zoetis expressly disclaims any obligation to update or revise any forward-looking statement, whether as a result of new information, future events or otherwise. A further list and description of risks, uncertainties and other matters can be found in our Annual Report on Form 10-K for the fiscal year ended December 31, 2016, including in the sections thereof captioned "Forward-Looking Statements and Factors That May Affect Future Results" and "Item 1A. Risk Factors," in our Quarterly Reports on Form 10-Q and in our Current Reports on Form 8-K. These filings and subsequent filings are available online at www.sec.gov, www.zoetis.com, or on request from Zoetis.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income, adjusted diluted earnings per share, and operational results (which excludes the impact of foreign exchange) to assess and analyze our results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included in the tables accompanying our earnings release and are posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX

CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

KEY PRODUCTS AND LIFECYCLE INNOVATIONS DRIVE REVENUE GROWTH

- Generated 25% operational¹ increase in adjusted net income² on 8% operational¹ growth in revenue for third quarter
- Companion animal portfolio operational¹ growth of 19%, supported by continued adoption of products like Apoquel, Cytoint and Simparica
- Livestock portfolio growth driven by balanced growth across International markets and U.S. poultry

WELL-POSITIONED FOR LONG TERM PROFITABLE GROWTH

- Increasing full year 2017 guidance at revenue, adjusted net income², and adjusted diluted earnings per share²
- Good runway for future growth based on recently launched products and investments in internal and external innovation
- Continue investing in manufacturing network to support future growth opportunities and improve costs

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Adjusted Net Income (non-GAAP financial measure) and adjusted diluted earnings per share are defined as reported U.S. generally accepted accounting principles (GAAP) net income excluding purchase accounting adjustments, acquisition-related costs and certain significant items

GLENN DAVID CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	Third Quarter		
	2017*	2016*	Change
Revenue	\$1,347	\$1,241	9%
Reported Net Income	298	239	25%
Reported Diluted Earnings Per Share	\$0.61	\$0.48	27%
Adjusted Net Income ¹	322	258	25%
Adjusted Diluted EPS ¹	\$0.65	\$0.52	25%

* Millions of dollars, except per share data

¹Adjusted net income and adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	Third Quarter				
	2017*	2016*	Change	Foreign Exchange	Operational ²
Revenue	\$1,347	\$1,241	9%	1%	8%
Adjusted Cost of Sales ¹	432	403	7%	-	7%
<i>as a percent of revenue</i>	32.1%	32.5%	NA	NA	NA
Adjusted SG&A Expenses ¹	327	333	(2)%	-	(2)%
Adjusted R&D Expenses ¹	95	90	6%	-	6%
Effective Tax Rate on Adjusted Income ¹	28.7%	31.6%	NA	NA	NA
Adjusted Net Income ¹	322	258	25%	-	25%

* Millions of dollars

NA – Not applicable

¹Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted selling, general and administrative (SG&A) expenses, adjusted research and development (R&D) expenses, and adjusted tax expenses are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure.

²Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.



US SEGMENT PERFORMANCE

	Third Quarter				
	2017*	2016*	Change	Foreign Exchange	Operational ¹
Revenue	\$680	\$640	6%	-	6%
Livestock	319	341	(6)%	-	(6)%
Companion Animal	361	299	21%	-	21%
Cost of Sales	141	137	3%	-	3%
Gross Profit	539	503	7%	-	7%
<i>Gross Margin</i>	79.3%	78.6%	NA	-	NA
Operating Expenses	103	101	2%	-	2%
Other (Income)/Deductions	-	-	-	-	-
Earnings ²	436	402	8%	-	8%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL SEGMENT PERFORMANCE

	Third Quarter				
	2017*	2016*	Change	Foreign Exchange	Operational ¹
Revenue	\$654	\$585	12%	1%	11%
Livestock	435	394	10%	1%	9%
Companion Animal	219	191	15%	-	15%
Cost of Sales	213	201	6%	-	6%
Gross Profit	441	384	15%	1%	14%
<i>Gross Margin</i>	67.4%	65.6%	NA	NA	NA
Operating Expenses	132	128	3%	1%	2%
Other (Income)/Deductions	-	-	-	-	-
Earnings ²	309	256	21%	2%	19%

* Millions of dollars, NA – Not applicable

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Defined as income before provision for taxes on income

INTERNATIONAL MARKET REVENUE

	Third Quarter				
	2017*	2016*	Change	Foreign Exchange	Operational ¹
Total International	\$654	\$585	12%	1%	11%
Australia	51	42	21%	2%	19%
Brazil	66	56	18%	4%	14%
Canada	40	39	3%	1%	2%
China	40	33	21%	(1)%	22%
France	30	28	7%	5%	2%
Germany	35	29	21%	5%	16%
Italy	22	21	5%	1%	4%
Japan	31	34	(9)%	(6)%	(3)%
Mexico	21	17	24%	6%	18%
Spain	24	20	20%	5%	15%
United Kingdom	36	35	3%	(4)%	7%
Other Developed	96	80	20%	2%	18%
Other Emerging	162	151	7%	(2)%	9%

* Millions of dollars

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange.

FINANCIAL GUIDANCE

Selected Line Items (millions of dollars, except per share amounts)	2017
Revenue	\$5,225 to \$5,275
<i>Operational growth¹</i>	7% to 8%
Adjusted cost of sales as a percentage of revenue ²	Approximately 33%
Adjusted SG&A expenses ²	\$1,310 to \$1,335
Adjusted R&D expenses ²	\$375 to \$385
Adjusted interest expense and other (income) / deductions ²	Approximately \$160
Adjusted EBIT margin ²	34% to 34.5%
Effective tax rate on adjusted income ²	Approximately 29%
Adjusted diluted EPS ²	\$2.34 to \$2.39
Adjusted net income ²	\$1,155 to 1,180
<i>Operational growth^{1,3}</i>	18% to 21%
Certain significant items ⁴ and acquisition-related costs	\$20 to \$40
Reported diluted EPS	\$2.16 to \$2.23

¹Operational growth (a non-GAAP financial measure) excludes the impact of foreign exchange

²Adjusted net income and its components and adjusted diluted EPS (non-GAAP financial measures) are defined as reported U.S. generally accepted accounting principles (GAAP) net income and its components and reported diluted EPS excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Adjusted cost of sales, adjusted SG&A expenses, adjusted R&D expenses, adjusted interest expense, and adjusted other (income)/deductions are income statement line items prepared on the same basis, and, therefore, components of the overall adjusted income measure. Adjusted Earnings before Interest and Taxes (EBIT) is defined as Reported EBIT excluding purchase accounting adjustments, acquisition-related costs and certain significant items. Reported EBIT excludes interest expense net of capitalized interest, interest income and adjusted income taxes.

³We do not provide a reconciliation of forward-looking non-GAAP adjusted net income operational growth to the most directly comparable GAAP Reported financial measure because we are unable to calculate with reasonable certainty the foreign exchange impact of unusual gains and losses, acquisition-related expenses, potential future asset impairments and other certain significant items, without unreasonable effort. The foreign exchange impact of these items are uncertain, depend on various factors, and could have a material impact on GAAP Reported results for the guidance period.

⁴Primarily includes certain nonrecurring costs related to restructuring, net gains/losses on sales of assets, and other charges for the operational efficiency initiative and supply network strategy

ONE TIME COSTS 2015 - 2017

Pre-tax Charges¹ (millions of dollars)	2015 - 2017
Stand-up costs, acquisition-related costs and other ²	\$290
Operational efficiency initiative	\$295 to \$305
Supply network strategy	\$40 to \$50
Certain significant items and acquisition-related costs	\$625 to \$645

¹Excludes non-cash charges of \$57 million in 2015, \$8 million in 2016, and \$8 million in 2017

²Includes charges of \$93 million in 2015 for revaluation of Venezuela bolivar-denominated assets and liabilities

Q&A

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